

境外A股基金如何取得中國A股的投資？

連接產品

重要風險信息

- 投資涉及風險。過往業績並不代表將來表現。本基金將對總部設於中國或在中國擁有重要業務的公司進行股票投資，方式為直接或間接投資於該等公司於中國在岸及離岸上市的股票。有關本基金的詳情請參閱發售文件，包括風險因素。
- 投資於中國相關公司及中國市場涉及投資於較發達經濟體或市場一般不會有的若干風險及特別考慮因素，如較高政治、稅務、經濟、外匯、流動性及監管風險等。本基金的投資項目集中於中國相關公司，或會導致較覆蓋範圍廣泛的全球投資組合面對較大波動。
- 本基金不會直接投資於A股，而是透過投資連接產品參與A股市場，連接產品乃與A股掛鈎的衍生工具。本基金將承受與連接產品發行人相關的交易所對手風險；如任何發行人違約，本基金或會蒙受損失。連接產品以中國的QFII制度為基礎發行。現行QFII政策及規則或會有變，任何有關變化可能會對本基金於連接產品的投資帶來不利影響。

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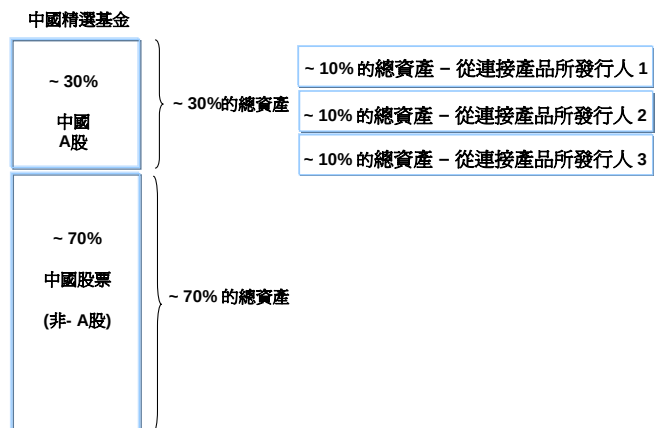
- 在中國的法例和監管制度下，境外機構投資者只可在獲得合格境外機構投資者(QFII)牌照後才可直接買賣中國A股。
- 對於一境外基金經理人而言，可用以下兩種方法投資於中國A股市場：
 - (i) 取得合格境外機構投資者(QFII)牌照並直接投資及持有A股
 - (ii) 向另一持有合格境外機構投資者(QFII)牌照的機構投資者(例如：花旗環球金融有限公司)購買一證券產品，其回報模擬直接投資A股的回報

甚麼是連接產品？

- 連接產品為一種證券，被應用於一般較難給予境外投資者投資的市場(如中國、印度)，其回報與當地的股票證券掛鈎，可為投資者帶來與直接投資當地股票證券同等的經濟得益。
- 連接產品價值的變動與所連接的股票證券一致。持有一單位的連接產品，在經濟角度而言，與持有一單位的相關股票證券無異。
- 中國A股連接產品由持有合格境外機構投資者(QFII)牌照的機構投資者發行，該機構投資者透過QFII牌照製造及銷售中國A股連接產品以進行業務。

中國精選基金的機制

- 按證監會所定，投資在單一A股連接產品發行商所發行的證券不可多於基金資產淨值的10%。



使用連接產品的四大優點

- (1) **投資額度**：利用連接產品可讓我們運用市場上整體合格境外機構投資者(QFII)的額度(而非只是個別經理人的額度)，視乎監管，為經理人提供最佳的機會，以成立一個大型基金，並滿足分銷商的需求
- (2) **流動性**：利用連接產品可讓基金享有**每日流動性**(對比透過個別經理人QFII額度直接投資的中國A股基金提供每月流動性)
- (3) **費用**：相對於運用個別經理人QFII額度的中國A股基金，利用連接產品一般可**令基金費用較低**(前者一般收取贖回費及買賣價差，且通常收取QFII營運費，並需在中國境內額外委任託管服務供應商)
- (4) **難以管理的法律風險**：透過個別經理人QFII額度投資於A股的中國A股基金，需承擔偏高的法律風險。在這種機制下，經理人以個人名義購買中國A股，並代基金持有。然而，若經理人出現無力償債之情況，便不能保證中國法院裁定該經理人代基金持有的中國A股實際上是基金的財產；國內的律師亦認為此方法未必讓基金享有中國A股的直接法律權益，且不少律師質疑是否可強制執行。因此，採用此方法的經理人令基金投資者承擔難以管理的法律風險。

投資於連接產品的風險

- 有限流通性** - 連接產品可能並無活躍的二級市場
- 信貸風險** - 投資連接產品使基金承受本基金所投資任何連接產品發行人的信貸風險
- 連接產品成本的風險** - 投資於連接產品的成本會受市場供求力量的影響
- QFII限制造成的局限** - QFII須遵循若干投資限制
- 匯回風險** - 匯回資金須視乎國家外匯管理局批准

免責聲明

投資涉及風險。過往業績並不代表將來表現。有關本基金的詳情請參閱發售文件，包括風險因素。

投資者應注意，儘管本基金的投資組合通常直接或間接投資於最能反映本基金投資策略的資產，投資策略中影響資產篩選的觀點及過程，可能與花旗集團或其聯屬公司刊發的研究報告或註釋所載的其他觀點或意見相反。

本基金已獲證券及期貨事務監察委員會（證監會）認可，惟獲證監會認可並非對計劃的推薦或贊同，亦不保證本基金或其表現的商業價值。這並不表示本基金適合所有投資者，亦不是贊同本基金適合任何特定投資者或特定類別投資者。本廣告並無經證券及期貨事務監察委員會審閱。

本基金單位的發售或邀約並不涉及任何根據新加坡法例第289章《證券及期貨法》（「《證券及期貨法》」）第286條所批准或根據《證券及期貨法》第287條所認可的集體投資計劃。

本基金未經新加坡金融管理局（「新加坡金管局」）批准或認可，及單位不得向新加坡公眾散戶提呈發售。本資料不屬於《證券及期貨法》所界定的發售章程。因此，根據《證券及期貨法》有關發售章程內容的法定責任將不會適用。閣下應仔細考慮此項投資是否適合閣下。

本資料並未向新加坡金管局註冊為發售章程。因此，根據《證券及期貨法》第305A條，本資料及與發售或銷售或邀請認購或購買單位有關的任何其他文件或材料不得直接或間接向新加坡人士傳閱或分發、提呈發售或銷售單位或將單位作為所發出認購或購買邀請的主旨，但以下列方式作出者除外：

- (i) 以《證券及期貨法》第304條項下的機構投資者為對象、
- (ii) 以《證券及期貨法》第305(5)條所界定的相關人士，或根據《證券及期貨法》第305(2)條所述發售並符合《證券及期貨法》第305條所述條件的任何人士為對象，或
- (iii) 按照及根據《證券及期貨法》任何其他適用規定的條件的其他方式。

倘若根據《證券及期貨法》第305條認購或購買單位的有關人士屬於下列類別：

- (a) 唯一業務為持有投資的法團（並非認可投資者（定義見《證券及期貨法》第4A條）），及其全部股本由一名或多名屬於認可投資者的個人持有；或
- (b) 唯一目的為持有投資的信託基金（受託人並非認可投資者），及其各受益人均屬於認可投資者的個人，在該法團或該信託基金已認購根據《證券及期貨法》第305條而按照所作出提呈發售的單位後6個月內，該法團的證券（定義見《證券及期貨法》第239(1)條）或受益人於該信託基金的權利及權益（不論如何表述）均不得轉讓，但下列情況除外：
 - (1) 轉讓予機構投資者或《證券及期貨法》第305(5)條所界定的相關人士，或根據《證券及期貨法》第275(1A)條或第305(A)(3)(i)(B)條向其作出提呈發售之任何人士；
 - (2) 並無或不會就轉讓支付任何代價；
 - (3) 轉讓是由於執行法律所致；或
 - (4) 符合《證券及期貨法》第305(A)(5)條規定之轉讓。

投資產品並非存款，不受新加坡法例第77A章《存款保險法》所規管，且不能於存款保險計劃下獲得存款保險之保障。

由花旗集團基金管理有限公司發出。

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How can foreign China A-share funds obtain China A-share exposure?

Access Products

Important Information:

- Investment involves risk. Past performance is not indicative of future performance. The Fund will take equity exposure to companies which are headquartered in or have significant business exposure to China by investing, directly and indirectly, in their stocks listed both onshore and offshore China. Please refer to the offering document for details of the Fund, including the risk factors.
- Investing in China-related companies and in Chinese markets involve certain risks and special considerations not typically associated with investment in more developed economies or markets, such as greater political, tax, economic, foreign exchange, liquidity and regulatory risk. The concentration of the Fund's investments in China-related companies may result in greater volatility than portfolios which comprise broad-based global investments.
- The Fund does not invest directly in A-Shares but instead obtains access to the A-share market by investing into access products, which are derivative instruments linked to A-shares. The Fund will be subject to the counterparty risk associated with the issuers of the access products and may suffer losses if any issuer defaults. Access products are issued on the basis of China's QFII system. The current QFII policy and rules are subject to change and any such change could adversely impact the Fund's investments in access products.

How can foreign China A-share funds obtain China A-share exposure?

- Foreign institutional investors may only buy China A-shares directly if they are granted a license (Qualified Foreign Institutional Investor license, or "**QFII license**") by the PRC regulators to buy and sell A-shares.
- 2 ways** for a foreign fund manager to get exposure to China A-shares:
 - (i) obtain **its own QFII license** and then buy A-shares
 - (ii) **buy a security from another institutional investor** (e.g. Citigroup Global Markets Limited) that has a QFII license that gives it **the same China A-share exposure via Access Products** as if it had bought the securities directly.

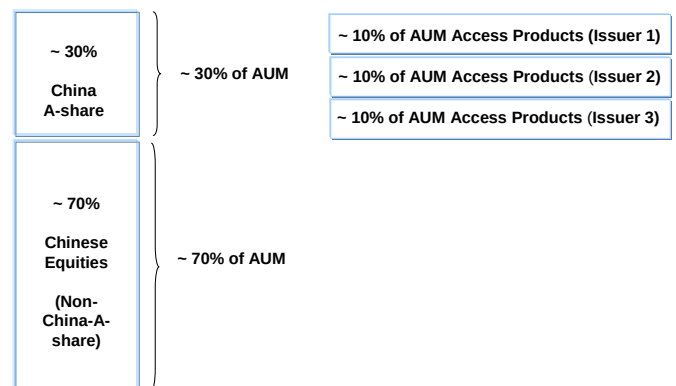
What are Access Products (APs)?

- APs are **securities in which the economics are linked to equity securities** in restricted markets (e.g. China and India) that are **not directly accessible by foreigners** that give the owner the **same economic interest** as holding the named equity security directly.
- The value of an AP moves in **the same way** as the value of the underlying equity security. Owning an AP is, economically, the same as owning a unit of the underlying equity security.
- China A-share APs** are issued by foreign securities houses that have a QFII license and use it to operate a business of manufacturing and selling China A-share APs.

The mechanism of China Select Fund

- Pursuant to requirements set by the Securities and Futures Commission, the Fund may invest **not more than 10%** of its NAV in securities issued by any single China A-share APs issuer.

China Select Fund



4 advantages of using Access Products

- (1) Capacity** : Can access the **entire QFII quota currently available** on the street (not just a manager's own individual quota), subject to regulations --- best chance of establishing a sizeable fund and satisfying distributor demand
- (2) Liquidity** : **Daily liquidity** (versus monthly liquidity for China A-share funds that invest directly via a manager's own QFII)
- (3) Cost** : Potentially make a fund **cheaper** than direct QFII A-share fund (direct QFII A-share funds may charge redemption fees AND a bid-offer spread, QFII maintenance fee, and they need to appoint extra custodian service providers onshore PRC)
- (4) Unmanageable legal risk** : For direct QFII A-share funds, there is no guarantee that a PRC court would recognize that the China A-shares held by the manager on behalf of the fund are in fact the property of the fund in the case when the fund manager became insolvent

Risks of investing in Access Products

- Limited liquidity** – may not have active secondary market
- Credit risk** – using APs makes the fund subject to the credit risk of APs issuer
- Cost of Access Product risk** – cost of APs is subject to market supply and demand
- Limitations posed by QFII restrictions** – QFIIs are subject to compliance with certain investment restrictions
- Repatriation risk** – repatriation of capital by the AP issuers is subject to regulatory approval

Disclaimer

Investment involves risk. Past performance is not indicative of future performance. Please refer to the offering document for details of the Fund, including the risk factors.

Investors should note that although the Fund's portfolio will always be invested directly or indirectly in assets that best reflect the Fund's investment strategy, the views and process that influence the selection of assets in the investment strategy could be contrary to other views or opinions contained in research reports or notes published by Citigroup or its affiliates.

The Fund has been authorised by the Securities and Futures Commission (SFC) but such authorisation is not a recommendation or endorsement of the Fund nor does it guarantee the commercial merits of the Fund or its performance. It does not mean the Fund is suitable for all investors nor is it an endorsement of its suitability for any particular investor or class of investors. This advertisement has not been reviewed by the Securities and Futures Commission.

The offer or invitation of the Units in the Fund does not relate to a collective investment scheme which is authorised under section 286 of the Securities and Futures Act, Chapter 289 of Singapore (the "SFA") or recognised under section 287 of the SFA. The Fund is not authorised or recognised by the Monetary Authority of Singapore (the "MAS") and Units are not allowed to be offered to the retail public in Singapore. This document is not a prospectus as defined in the SFA. Accordingly, statutory liability under the SFA in relation to the content of prospectuses would not apply. You should consider carefully whether the investment is suitable for you.

This document has not been registered as a prospectus with the MAS. Accordingly, pursuant to section 305A of the SFA, this document and any other document or material in connection with the offer or sale, or invitation for subscription or purchase, of Units may not be circulated or distributed, nor may Units be offered or sold, or be made the subject of an invitation for subscription or purchase, whether directly or indirectly, to persons in Singapore other than

- (i) to an institutional investor under section 304 of the SFA,
- (ii) to a relevant person as defined in section 305(5) of the SFA or any person pursuant to an offer referred to in section 305(2) of the SFA, and in accordance with the conditions specified in section 305 of the SFA or
- (iii) otherwise pursuant to, and in accordance with the conditions of any other applicable provision of the SFA.

Where Units are subscribed or purchased under section 305 of the SFA by a relevant person which is:

- (a) a corporation (which is not an accredited investor (as defined in section 4A of the SFA)) the sole business of which is to hold investments and the entire share capital of which is owned by one or more individuals, each of whom is an accredited investor; or
- (b) a trust (where the trustee is not an accredited investor) whose sole purpose is to hold investments and each beneficiary of the trust is an individual who is an accredited investor, securities (as defined in section 239(1) of the SFA) of that corporation or the beneficiaries' rights and interest (howsoever described) in that trust shall not be transferred within 6 months after that corporation or that trust has acquired the Units pursuant to an offer made under section 305 of the SFA except:
 - (1) to an institutional investor or to a relevant person defined in section 305(5) of the SFA, or to any person pursuant to an offer referred to in section 275(1A) or section 305(A)(3)(i)(B) of the SFA;
 - (2) where no consideration is or will be given for the transfer;
 - (3) where the transfer is by operation of law; or
 - (4) as specified in section 305(A)(5) of the SFA.

Investment products are not deposits and are not subject to the provision of the "Deposit Insurance Act (Cap 77A)" of the republic of Singapore nor eligible for deposit insurance coverage under the deposit insurance scheme.

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